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US Equity Market Outlook (Post #49)

Jackson Hole Perspective and Implication

Chair Warsh delivered an insightful speech at the Jackson Hole symposium earlier today where he reemphasized the commitment to a 2% inflation target. Other commentary pointed to stable economic data but with some mention that financial conditions are not restrictive, and may be on the easier side. The market-implied probability of a federal funds rate hike this year has increased. Generally, we suspect that equity markets are mostly prepared for this but premised on the implication this has for "protecting the curve." Our read of a variety of economic indicators is such that we do not see signs of classic overheating as a driver of higher inflation. Rather, post-pandemic supply-chain issues, tariffs, related policy dynamics, and oil/geopolitical uncertainty all seem at play.

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All in all, the balance which Mr Warsh seems to be bringing to the Fed process appears reasonable, and we look forward to more from the Fed's task forces. However, we have to acknowledge that our ongoing "broadening" call is reliant on some combination of lower oil prices, resultant lesser inflation pressure, and, ultimately, room for the Fed to react more dovishly to mixed labor trends, as advocated by Citi's Economics team. Thus, fundamentals tell us that there is still room for broadening to be a tailwind into year-end, but we would like to see WTI trending back below \$80/bbl along with 10-year yields taking some relief from a committed Fed and start ticking lower. Confidence in soft-landing economic conditions remains critical to the broadening playbook, in our view, and this still appears to be the appropriate backdrop.

We continue to emphasize that the path to our ongoing 8,100 target for the S&P 500 remains premised on fundamental tailwinds persisting as well as to each of the AI-affected growth part of the index and more cyclical components contributing. Small cap continues to resonate as another form of broadening play. This part of the US equity market tends to be more economically sensitive and, as such, is incrementally more reliant on soft-landing conditions and, preferably, an easier Fed. This would explain its relative price weakness today. While we expect underlying fundamentals here to remain solid, the presumption of higher rates does present a sentiment headwind.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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Appendix A-1

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